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Cigarette companies: Price hikes with higher volumes hold promise

By Kiran Kabtta Somvanshi, ET Bureau • Last Updated: Jul 19, 2011, 04:24:00 AM IST

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Synopsis

Shares of cigarette companies have rallied over the past one month, with ITC, Godfrey Philips and VST Industries hitting record highs.

Shares of cigarette companies have rallied over the past one month, with the three leading cigarette makers [ITC](#), [Godfrey Philips](#) and [VST Industries](#) hitting record highs. All the three stocks have posted robust returns in the past one year, significantly outperforming the benchmark Sensex, helped by favourable taxation and increase in cost of competing tobacco products.

Unlike previous years, the central government has not increased excise duty on cigarettes in the budget for this fiscal, though states have varyingly raised value added tax (VAT). While northern states such as Rajasthan have significantly raised [VAT](#) on cigarettes, all the southern states have spared the sector from a major increase. In contrast, competing tobacco products such as ‘pan masala’ and chewing tobacco have witnessed cost increases in the form of higher taxation and a rise in raw material cost.

Also, prices of tobacco have remained benign compared with higher prices of ‘tendu’ leaves that are used for manufacturing ‘beedis’. The cigarette industry has cashed in on the rise in beedi prices by competitively pricing low-end and micro filter cigarettes to lure ‘beedi’ smokers to cheaper cigarettes. Also, contrary to its earlier plans the government decided to issue less gory pictorial warnings on cigarette packets, which has aided sentiment in the stocks.

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In the quarter ended June, VST Industries reported a 90% year-on-year jump in net profit. ITC, which is yet to declare its first quarter earnings, is expected to have witnessed a pick-up in cigarette volumes despite price increases in some of its products. Going forward, the rally in cigarette companies is likely to continue as all factors seem to be positive for the sector.

Analysts expect cigarette companies to report strong earnings growth driven by higher volumes, price increases and lower expenses.

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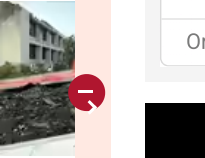
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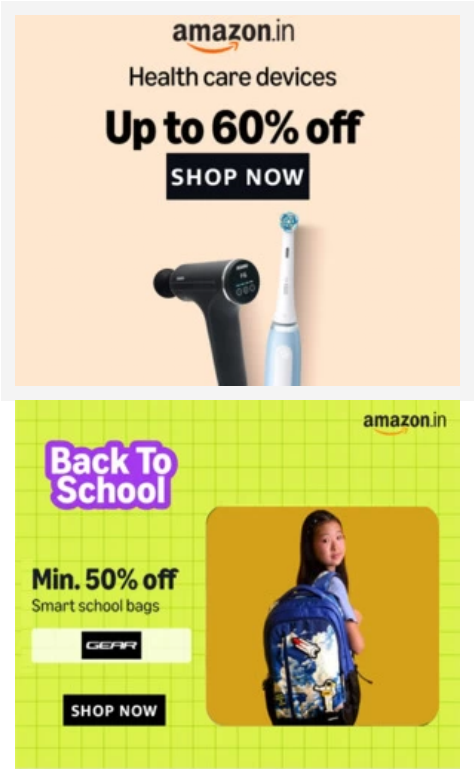
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